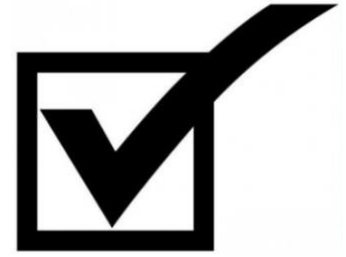




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED ACCOUNTING (110)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (24 @ 3 points each) _____ (72 points)

Job 1 - Depreciation _____ (36 points)

Job 2 – Stock Transactions _____ (42 points)

Job 3 – Effects on Statement of Cash Flows _____ (60 points)

TOTAL POINTS _____ ***(260 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

1.	D	14.	D
2.	C	15.	C
3.	D	16.	D
4.	A	17.	A
5.	D	18.	B
6.	B	19.	A
7.	D	20.	C
8.	A	21.	B
9.	A	22.	B
10.	B	23.	A
11.	C	24.	B
12.	B	25.	A
13.	D		

Short Answer Problems — 72 Points, each worth 3 points1. a. 187,500b. 20,000c. 161,800d. 261,800

2.	<u>Rent</u>	<u>Utilities</u>
Women's	<u>16,800</u>	<u>10,080</u>
Men's	<u>12,000</u>	<u>7,200</u>
Children's	<u>8,000</u>	<u>4,800</u>
Accessories	<u>3,200</u>	<u>1,920</u>

3. a. 16,000b. 2,000c. 4,000d. 800

4. a. Cash Discount on Bonds Payable (order doesn't matter)
- b. 98,000 2,000
- c. Bonds Payable
- d. 100,000
- e. Discount
- f. 6.1%

Job 1 – Depreciation – 36 Points – 2 points each

	Coal Mine			Dump Truck		
	Annual Depletion	Accumulated Depletion	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2020	4,600,000	4,600,000	50,400,000	14,700	14,700	110,300
2021	5,700,000	10,300,000	44,700,000	24,675	39,375	85,625
2022	6,000,000	16,300,000	38,700,000	19,635	59,010	65,990

Job 2 – Stock Transactions – 1 point per each account and each amount – 42 Points

Date	Description	Debit	Credit
Jan 4	Cash	2,310	
	Capital Stock - Common		2,000
	Paid-in Capital in Excess - Common		310
Jan 18	Cash	3,200	
	Capital Stock - Preferred		3,200
Feb 20	Equipment	3,000	
	Capital Stock - Common		2,400
	Paid in Capital in Excess - Common		600
Mar 31	Treasury Stock	7,425	
	Cash		7,425

June 15	Dividends - Common	26,000	
	Dividends - Preferred	24,000	
	Dividends Payable		50,000
June 24	Cash	1,925	
	Paid-in Capital in Excess – Common Stock	75	
	Common Stock - Capital		2,000
July 3	Cash	8,000	
	Treasury Stock		7,425
	Paid in Capital in Excess – Treasury Stock		575
July 15	Dividends Payable	50,000	
	Cash		50,000

Job 3 – Effects on the Statement of Cash Flows – 60 Points – 1 point each

Transaction	Effect on Cash Flow	Amount	Section of Cash Flows Statement
January 2	Decrease	15,000	Investing
February 24	Increase	1,728	Operating
March 15	Decrease	800	Operating
March 31	Decrease	20,000	Operating
April 1	No effect	0	None
May 30	Increase	8,500	Investing
June 30	Increase	250,000	Financing
July 7	Decrease	800	Operating
July 18	No effect	0	None
July 26	Increase	3,332	Operating
August 1	Increase	440,000	Financing
August 11	No effect	0	None

September 8	Decrease	3,360	Operating
September 25	Increase	3,500	Financing
October 1	Increase	600	Operating
October 15	No effect	0	None
November 15	Decrease	750,000	Financing
November 30	Decrease	220,000	Financing
December 20	Increase	6,500	Investing
December 31	Decrease	10,000	Operating